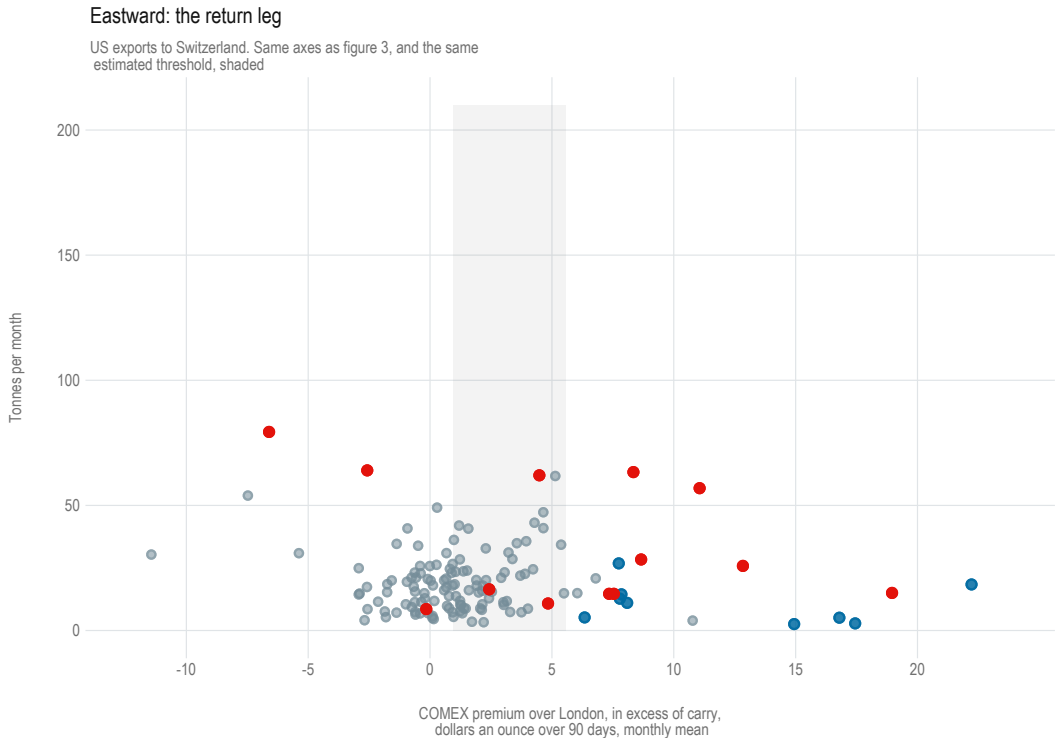




The metal came back, but not because it was paid to

The westward leg is arbitrage and has a threshold. The return east has neither: it began when the premium disappeared, not when it inverted



Correlation between the premium and the return flow is -0.08, and -0.04 against a six-month inventory overhang. Fitting figure 3's kink to this leg finds no threshold worth the name. This contradicts the project's standing assumption that the sign of the spread sets the direction of travel: metal went home when the reason to be in New York expired, which is an event in the Federal Register rather than a number in the futures curve.

Sources: Swiss Federal Customs Administration; CME; LBMA; FRED

